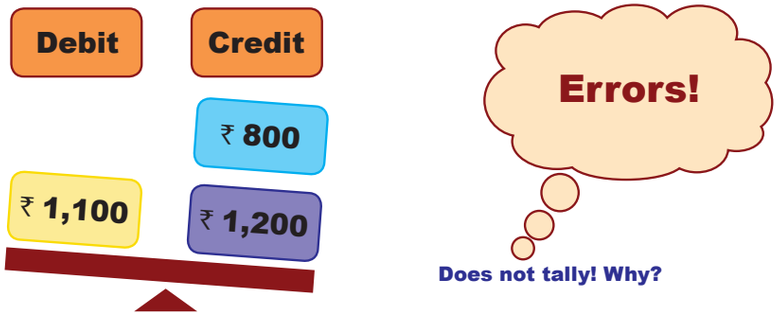
9.1 Introduction

The very purpose of maintaining accounting records is to know the profit made or the loss incurred by a business entity and its financial position at the end of every accounting year. Accuracy is assured only when there are no errors in the books of accounts. To ensure accuracy, errors are identified and rectified. Many business enterprises have shifted from manual accounting to computerised accounting. Yet, errors in accounting are unavoidable. Hence, errors are to be located and rectified to find out the real profit or loss and financial position i.e., assets and liabilities at different periods, usually at the end of each financial year.



9.2 Meaning of errors

Error means recording or classifying or summarising the accounting transactions wrongly or omissions to record them by a clerk or an accountant unintentionally.

9.3 Errors at different stages of accounting

In the accounting process, errors may occur in any of the following stages:

A) At the stage of journalising

At this stage, the following types of errors may occur:

(i) Error of omission (ii) Error of commission (iii) Error of principle

B) At the stage of posting

At this stage, the following types of errors may occur:

(i) Errors of omission

(a) Error of complete omission (b) Error of partial omission

(ii) Error of commission

(a) Posting to wrong account (b) Posting of wrong amount

(c) Posting to the wrong side

C) At the stage of balancing

At this stage, the following types of errors may occur:

(i) Wrong totalling of accounts (ii) Wrong balancing of accounts

D) At the stage of preparing trial balance

At this stage, following types of errors may occur:

(i) Error of omission

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